ADDESSA Corp — HRIS

Payroll Process

End-to-End Testing Manual — from setup to payroll generation and approval

Item	Detail
Document version	1.3 — 10/15/2026 (Administrator delete / roll back after the pay date, BIR semi-monthly and annual tables, centavo rules, over-break late, deductions switch and cash payments, Other Allowance)
Applies to	HRIS web application (React front end + vueportal API): Time & Leave, Payroll, Approvals
Intended readers	HR / Payroll officers, payroll approvers, QA testers, system administrator
Test environment	Local / staging copy of the HRIS with BioBridge biometric logs. Never run these tests on live payroll data.

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1. Purpose and How to Use This Manual

This manual walks a tester through the whole payroll process the way HR and Payroll actually do it: first the one-time setup (pay rules, cut-offs, holidays, shifts, contribution tables, deduction and allowance types, approval procedures), then each employee's pay records, then the attendance and leave that happen during a cut-off, the Daily Time Record (DTR) review, payroll generation, the two-person approval, and the checks after the payroll is locked.

How to use it:

- Do the phases in order — each one prepares the data the next one needs.
- For each step, do the action on the screen named in "Menu / Screen", using the example test data or your own, and compare with "Expected result".
- Tick Pass or Fail. For a Fail, write it in the Defect Log (Appendix D) with the screen, the data used, what happened and a screenshot.
- Phases 1–2 are setup. Phases 3–7 can be repeated for every cut-off you test.

Note: The example data uses employee 23363 De Guzman, Xavier (ADMINISTRATION) and the 2026 cut-offs, as in the sample data already loaded on the test system. Replace them with your own test employees as needed.

1.1 Process at a glance

Phase	Name	What it covers
1	System setup	Payroll Settings (rates, statutory schedule, cut-off pattern, pay days, holiday rule), premium rates, payroll cut-offs, holiday calendar, contribution tables, deduction / allowance / leave types, shifts, approval procedures (Access Charts).
2	Employee pay records	Employee master data, Work Schedule, Salary History, contribution profile, allowances, scheduled deductions / loans.
3	Attendance & leave in the cut-off	Biometric punches, manual time entries, overtime, leave, shifting, payroll adjustments — filed and approved.
4	Timekeeping (DTR) review	The day-by-day record per employee: late, undertime, absences, holidays, rest days, overtime, items that need a look.
5	Payroll generation	Generate the Draft payroll, review the pay register and payslips, correct and regenerate.
6	Payroll approval	Submit for approval; two approvers approve (or one returns it); the last approval locks it.
7	After approval	Loan payments posted, payroll adjustments applied, filing switched off, the accounts each payslip was paid with saved, audit trail.
8	Corrections after approval	Add employees to an approved payroll as a new approval round, roll back approved payslips before the pay date, the paid lock, round bank files.
9	13th month pay	Generate (all / selected), check the amounts, approve, add employees as a new round, roll back before the pay date.
10	Multi-company payroll	Employers and their payroll accounts, generating per company, the paid-from record, Add Employees after the pay date, remittances / 2316 per company, the employer share on payslips, cancelling filings.

2. Before You Start

2.1 Test accounts and access

Account	Role(s) / permissions needed	Used for
Administrator	Administrator (can do everything)	Setup screens; can stand in for any approver.
HR / Payroll officer	compensation-*, contribution-*, allowance-*, deduction-*, payroll-adjustment-*, payroll-setting-*, payroll-cutoff-*, holiday-calendar-*, shift-*, shift-assignment-*, leave-*, time-entry-*, overtime-*, dtr-list, payroll-run-list, payroll-run-generate, payroll-run-cancel	Phases 1–5: setup, records, timekeeping, generating and submitting the payroll.
Payroll Approver 1	"Payroll Approver" role (payroll-run-list, payroll-run-approve); mapped on the "Payroll Run" Access Chart — test system: Lady Rose Lutrania	Phase 6 — first approval.
Payroll Approver 2	Same — test system: Marilou Baltazar	Phase 6 — second approval / disapproval.
Leave / time-entry / OT approver	Leave Approver, Time Entry Approver, Overtime Approver (mapped on their Access Charts)	Phase 3 approvals.
Test employee (optional)	A user linked to the test employee	Filing leave / time entries as the employee.

2.2 Checklist

- The test system has the payroll database changes applied (Payroll Settings cut-off rules, payroll runs and their approval) and PermissionSeeder / PayrollRunApprovalProcedureSeeder have been run.
- BioBridge (the biometric database) is reachable — the Attendance tab of an employee shows punches.
- You know which cut-off you will test and it is not yet approved (Payroll → Payroll Runs).
- Screenshots: keep one per Fail and one of each final payslip you check.

2.3 Terms used

Term	Meaning
Cut-off	A pay period (e.g. 2026-10-A = 10/01–10/15/2026) with a pay date. Filing switch ON = leave / time entries / overtime can be filed for its dates.
DTR	Daily Time Record — per employee per date: the schedule used, punches, status (Present, Absent, Holiday, Rest Day, On Leave, Incomplete, Upcoming…) and minutes.
Day type	Ordinary Day, Rest Day, Special Holiday, Regular Holiday, Double Holiday and their "on Rest Day" versions — decides the premium %.
Premium rates	Payroll Settings → Premium Rates: % of the ordinary rate for regular hours, overtime hours, night differential and "paid if unworked", per day type (DOLE).

Term	Meaning
Draft / Pending / Approved	Payroll run status: Draft (can be regenerated) → Pending (waiting for approvers) → Approved (locked). Disapproved returns it to Draft.

3. Phase 1 — System Setup

Done once (and when a rule changes). Do it as the HR / Payroll officer or Administrator.

3.1 Payroll Settings

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1A.1	Open Payroll Settings, tab General.	Payroll → Setup → Payroll Settings	—	The page shows the cards Rates, Statutory deductions — when taken, Cut-offs & Pay Days, Holiday Pay, with the saved values.	☐ Pass ☐ Fail
1A.2	Set the daily-rate factor and hours per day.	Payroll Settings → General → Rates	Working days a year: 313 (6-day week); Hours per day: 8	The hint shows "Daily rate = monthly rate × 12 ÷ 313". Saved with "Payroll settings have been saved."	☐ Pass ☐ Fail
1A.3	Set the night-differential window.	Payroll Settings → General → Rates	22:00 to 06:00	Saved; used for night minutes in the DTR.	☐ Pass ☐ Fail
1A.4	Set when statutory deductions are taken.	Payroll Settings → Statutory deductions	SSS / PhilHealth / Pag-IBIG: Once a month — 2nd cut-off; Withholding Tax: Every cut-off	Saved; payslips of the 1st cut-off show no SSS / PhilHealth / Pag-IBIG; the 2nd shows the full month.	☐ Pass ☐ Fail
1A.5	Set the cut-off pattern and pay days.	Payroll Settings → Cut-offs & Pay Days	1st cut-off starts day 1, 2nd day 16; paid on the 15th and the Last day of the month; pay day on a Sunday / holiday: move to the previous working day	The summary reads "Semi-monthly: 1–15 and 16–end, paid on the 15th and the last day of the month…". Choosing the same start day twice is refused.	☐ Pass ☐ Fail
1A.6	Decide the holiday-pay rule.	Payroll Settings → Holiday Pay	Switch OFF (default) — unworked regular holiday always paid	Saved. (ON = paid only when present / on paid leave the work day before — tested in Appendix A.)	☐ Pass ☐ Fail
1A.7	Review the premium rates.	Payroll Settings → Premium Rates	DOLE values: Ordinary 100/125; Rest Day 130/169; Special 130/169; Regular Holiday 200/260 (unworked 100); Double 300/390 (unworked 200); ND 10%	Each day type shows Regular Hours, Overtime Hour, Night Diff., Paid if Unworked. Save Rates works.	☐ Pass ☐ Fail

3.2 Payroll cut-offs and holidays

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1B.1	Enter the year's holidays first (they move pay days).	Time & Leave → Setup → Holiday Calendar	Ninoy Aquino Day 08/21/2026 Special; National Heroes Day 08/31/2026 Regular; Bonifacio Day 11/30/2026 Regular — all branches	Holidays listed with type and branches.	☐ Pass ☐ Fail
1B.2	Generate the year's cut-offs.	Time & Leave → Setup → Payroll Cut-offs → Generate Year	Year 2026, Semi-monthly	24 cut-offs: 2026-01-A (01/01–01/15) … 2026-12-B. Message "24 cut-off(s) created".	☐ Pass ☐ Fail
1B.3	Check pay dates.	Payroll Cut-offs list	2026-08-B, 2026-11-B, 2026-02-A	08/31 (holiday, Monday) → paid 08/29 Sat; 11/30 (holiday) → 11/28; 02/15 (Sunday) → 02/14.	☐ Pass ☐ Fail
1B.4	Re-apply pay dates after changing the rule.	Generate Year with "Update the pay dates of existing cut-offs"	Year 2026	Message "… pay date(s) updated"; only cut-offs with filing ON change.	☐ Pass ☐ Fail
1B.5	Filing switch (optional).	Payroll Cut-offs → Turn off	Any past cut-off, with a reason	Filing History shows Open → Closed with the reason; leave / time entries for its dates are refused while OFF.	☐ Pass ☐ Fail

3.3 Government tables, types and shifts

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1C.1	Verify the contribution tables in force.	Payroll → Setup → Contribution Tables	SSS 01/01/2025, PhilHealth 01/01/2024, Pag-IBIG 02/01/2024, BIR 01/01/2023	One "In Force" version per agency; expand to see the brackets. Compare with the current circulars.	☐ Pass ☐ Fail
1C.2	Import a renewed table (when a circular changes).	Contribution Tables → Import Version	Agency SSS, Download Template, change shares, effective date of the circular, Preview	Preview says "Adds a new SSS version …" and lists new / changed / removed brackets ("was …"). Import saves it; the list shows it as Upcoming / In Force.	☐ Pass ☐ Fail
1C.3	Check deduction types.	Payroll → Setup → Deduction Types	SSS Salary Loan, Pag-IBIG MPL, Company Loan, Cash Advance …	Types exist and are active.	☐ Pass ☐ Fail
1C.4	Check allowance types.	Payroll → Setup → Allowance Types	Rice Subsidy (de minimis 2,000 / month), Transportation (taxable)	Taxable / de minimis flags and limits are right.	☐ Pass ☐ Fail
1C.5	Check leave types.	Time & Leave → Setup → Leave Types	SIL, VL, SL, LWOP (unpaid) …	Paid / unpaid and credits are right.	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1C.6	Create / check shifts.	Time & Leave → Setup → Shifts	REG-0800-1700 (Mon–Fri 08:00–17:00, 60 min break); NIGHT-2200-0600 (grace 10 min)	Each shift shows its 7 days, break and grace.	☐ Pass ☐ Fail

3.4 Approval procedures (Access Charts)

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1D.1	Leave, Manual Time Entry and Overtime charts.	Approvals → Access Charts	Levels and approvers per chart	Each chart has its levels, required approvals and approvers; without levels, anyone with the approve permission decides in one step.	☐ Pass ☐ Fail
1D.2	Payroll Run chart: level and required approvals.	Access Charts → "Payroll Run" → Edit	Level 1, 2 approvals required	Saved without error ("Record has been updated").	☐ Pass ☐ Fail
1D.3	Payroll Run chart: approvers.	Approving Officers → "Payroll Run"	Lady Rose Lutrania, Marilou Baltazar at level 1	Both listed at level 1; "2 approval(s) needed · 2 officer(s)".	☐ Pass ☐ Fail
1D.4	Approver roles.	Authorizations → User Accounts	Give both the "Payroll Approver" role (keep their other roles)	They see Payroll → Payroll Runs and 13th Month Pay after logging in. Or set the charts' approvers first and run ApproverRoleSeeder: it gives every approver on an approval chart their approver role and its permissions.	☐ Pass ☐ Fail

4. Phase 2 — Employee Pay Records

Per test employee. Bulk changes go through Generate Template → fill → Import (Employee Master Data and Salary History both have it).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
2.1	Check the employee record.	Human Resource → Employee	Employee code = the biometric user ID; Active; branch; position; date employed	Profile opens; the Attendance tab shows biometric punches.	☐ Pass ☐ Fail
2.2	Give the employee a Work Schedule.	Employee → Work Schedule tab (or Import → Work Schedule)	Effective 10/01/2026, shift REG-0800-1700	The version shows the shift and its days; Timekeeping uses it from that date.	☐ Pass ☐ Fail
2.3	Enter the salary.	Payroll → Records → Salary History → Add Salary Change	Monthly 28,000.00 effective 09/16/2026, Salary Adjustment	The employee list shows the current salary; history shows the version and the change from the previous one.	☐ Pass ☐ Fail
2.4	Bulk salary import (optional).	Salary History → Generate Template (filter Branch / Position / Employees) → Import	One line with effective_date (YYYY-MM-DD, Text cell)	Template lists only the filtered employees with today's salary. Import: "Imported: 1 added…". A bad line shows the Error List with the Excel Row number.	☐ Pass ☐ Fail
2.5	Contribution profile.	Payroll → Records → Contributions → Edit profile	All agencies Computed; Pag-IBIG voluntary 100	View (eye) shows the monthly EE / ER / tax; changing date or compensation recomputes the totals.	☐ Pass ☐ Fail
2.6	Allowances.	Payroll → Records → Allowances → Add	Rice Subsidy 2,000 per month (from 01/01/2026); Transportation 750 per cut-off	Listed as current; the payroll pays Rice 1,000 per cut-off (non-taxable) and Transportation 750 (taxable).	☐ Pass ☐ Fail
2.7	Scheduled deductions / loans.	Payroll → Records → Deductions → Add	SSS Salary Loan 20,000, 833.33 on the 2nd cut-off, starting 2026-09-B	Listed Active with balance; due only on 2nd cut-offs from 09-B; a cut-off already paid is not deducted again.	☐ Pass ☐ Fail

5. Phase 3 — Attendance and Leave in the Cut-off

What happens during the cut-off. Each filing is approved by its approver (or by anyone with the approve permission when its chart has no levels).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
3.1	Biometric punches.	Employee → Attendance tab	Punch in / out on the device (or use existing logs)	Punches appear for the dates; the DTR uses the first IN and last OUT inside the shift window (a night shift's OUT next morning stays with its day).	☐ Pass ☐ Fail
3.2	Manual time entry for a missed / field punch.	Time & Leave → Attendance → Manual Time Entries → File	10/05/2026 Field Work 08:00–17:00	After approval the DTR shows 08:00–17:00 "time entry" for that date instead of the punches.	☐ Pass ☐ Fail
3.3	Overtime on an ordinary day.	Time & Leave → Attendance → Overtime → File, then approve	10/05/2026 17:00–20:00	Approved; DTR shows 3 h overtime; payroll pays 3 h × hourly × 125%.	☐ Pass ☐ Fail
3.4	Overtime on a holiday.	Overtime → File, then approve	A holiday date, e.g. 08/31/2026 17:00–19:00 (worked holiday)	Payroll pays it at the holiday's own overtime rate (Regular Holiday 260%, Special 169%).	☐ Pass ☐ Fail
3.5	Rest-day work.	Overtime → File for the rest day, then approve	Sunday 10/04/2026 08:00–17:00	Without an approved OT the DTR shows "Rest Day Worked — paid through approved overtime" and pays nothing; with it, the first 8 h at 130% and the rest at 169%.	☐ Pass ☐ Fail
3.6	Leave on a work day.	Time & Leave → Leave → Leave Applications → File, approve	VL 10/19–10/20/2026	DTR shows On Leave; paid leave is not deducted (monthly) / paid at the daily rate (daily-paid); LWOP is deducted.	☐ Pass ☐ Fail
3.7	Leave that covers a holiday.	Leave → File across a holiday	SL 08/21/2026 (Special Holiday)	The holiday is not counted against the leave; DTR shows Holiday; no deduction.	☐ Pass ☐ Fail
3.8	Temporary shifting.	Time & Leave → Schedule → Shifting → Assign	NIGHT-2200-0600 for 3 days	DTR uses the shifting for those dates (Schedule column "Shifting · NIGHT-2200-0600"); night minutes counted 22:00–06:00. Shifting History shows each change; values in force tagged Current.	☐ Pass ☐ Fail
3.9	Payroll adjustment (back pay).	Payroll → Records → Payroll Adjustments → Suggestions	Salary change effective 09/16 entered after the 09-B payroll	Open adjustment for the next cut-off (e.g. 2026-10-A); the payslip shows "Retro Salary".	☐ Pass ☐ Fail

6. Phase 4 — Timekeeping (DTR) Review

Before generating the payroll, review the DTR of the cut-off.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
4.1	Open Timekeeping for the cut-off.	Payroll → Processing → Timekeeping	Cut-off 2026-08-B, branch ADMINISTRATION, search 23363	One line per active employee: Present, Absent, Leave, Late, Undertime, Overtime, Holidays, Needs a Look.	☐ Pass ☐ Fail
4.2	Open the DTR.	Timekeeping → View DTR (eye)	23363	Banner with the summary; one line per date; the table fits the screen.	☐ Pass ☐ Fail
4.3	Holidays are never absences.	DTR	08/21 (Special), 08/31 (Regular), not worked	Status Holiday, Absent "—".	☐ Pass ☐ Fail
4.4	Late / undertime.	DTR	08/20 in 08:32 (schedule 08:00, no grace)	Late 32 m; worked 7 h 28 m. With a 10-min grace, 08:09 is not late; 08:11 is 11 m late.	☐ Pass ☐ Fail
4.5	Absence.	DTR	Work day with no punch and no leave	Status Absent, Absent 1.	☐ Pass ☐ Fail
4.6	Incomplete punch.	DTR	Only an IN	Status Incomplete, remark "Missing time out — file a manual time entry" (not deducted).	☐ Pass ☐ Fail
4.7	Upcoming days.	DTR of the current cut-off	Today and later	Status Upcoming — not yet, assumed worked (not deducted).	☐ Pass ☐ Fail
4.8	Needs a Look.	Timekeeping list	—	Employees with missing punches, no schedule or unpaid rest-day work are flagged; fix them (time entry / OT / schedule) before the payroll.	☐ Pass ☐ Fail

7. Phase 5 — Payroll Generation

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
5.1	Generate the Draft.	Payroll → Processing → Payroll Runs → Generate Payroll	Cut-off 2026-08-B, remarks	Message "Payroll 2026-08-B generated: N employee(s), net pay …"; the payroll page opens (Draft). A warning shows if the cut-off has not ended yet.	☐ Pass ☐ Fail
5.2	Review the summary.	Payroll page	—	Cut-off, status, pay date, employees, gross, deductions, net, employer share; note of active employees without a salary.	☐ Pass ☐ Fail
5.3	Review the pay register.	Payroll page → Pay Register	Search 23363	Rate, absent, late / UT, OT, gross, deductions, net; Check column counts warnings.	☐ Pass ☐ Fail
5.4	Open a payslip.	Pay Register → View payslip	23363	Earnings by category, Deductions (Government, Loans & Deductions), Employer Share, Net Pay, warnings, DTR. Compare with Appendix B.	☐ Pass ☐ Fail
5.5	Check holiday handling on the payslip.	Payslip	Cut-off with an unworked holiday	Monthly-paid: no absence line for the holiday. Daily-paid: "Holiday Pay (not worked)" at 100% for a regular holiday, nothing for a special one.	☐ Pass ☐ Fail
5.6	Correct and regenerate.	Fix the data (e.g. approve a time entry), then Regenerate	—	Same Draft is replaced with the new figures (one payroll per cut-off, or one per company — see Phase 10).	☐ Pass ☐ Fail
5.7	Cancel a Draft (optional).	Payroll page → Cancel Payroll	A reason	Reason is required; status Cancelled; the cut-off can be generated again.	☐ Pass ☐ Fail

8. Phase 6 — Payroll Approval

Approval procedure: Access Chart "Payroll Run", level 1, 2 approvals required. The person who submitted cannot approve; an Administrator's approval completes a level.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
6.1	Submit for approval.	Payroll page → Submit for Approval (HR / Payroll officer)	2026-08-B Draft	Status Pending; Approval Route "Level 1 Pending 0 of 2 approvals — Waiting for: Lady Rose Lutrania, Marilou Baltazar"; Regenerate is no longer offered.	☐ Pass ☐ Fail
6.2	Regenerate while pending is refused.	Generate Payroll for the same cut-off	—	Message "… waiting for approval — an approver must return it (disapprove)…".	☐ Pass ☐ Fail
6.3	Approver 1 approves.	Log in as Lady Rose → Payroll Runs → View → Approve	Remarks "Attendance checked"	Confirmation says "it still needs 1 more"; Route 1 of 2, Waiting for: Marilou Baltazar; History shows the approval with the remark.	☐ Pass ☐ Fail
6.4	Approver 1 cannot approve twice.	Same user → Approve	—	Refused: "You have already acted on this filing".	☐ Pass ☐ Fail
6.5	Approver 2 returns it (disapprove path).	Log in as Marilou → Disapprove	First with no remarks, then "Recheck the allowances"	No remarks: "Give the reason for disapproving". With remarks: status Draft, red "Returned by Marilou Baltazar …" with the reason.	☐ Pass ☐ Fail
6.6	Correct, regenerate, resubmit.	HR / Payroll officer	—	Back to Pending 0 of 2; the History keeps the earlier round in time order.	☐ Pass ☐ Fail
6.7	Both approve — the payroll locks.	Lady Rose → Approve; Marilou → Approve	—	The second confirmation reads "This is the last approval…"; status Approved; no action buttons; Route 2 of 2.	☐ Pass ☐ Fail

9. Phase 7 — After Approval

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
7.1	Loan / deduction payments posted.	Payroll → Records → Deductions → View the loan	SSS Salary Loan on a 2nd cut-off	A payment of the amortization, source Payroll, dated the pay date, for the cut-off; balance reduced.	☐ Pass ☐ Fail
7.2	Payroll adjustment applied.	Payroll → Records → Payroll Adjustments	The adjustment of the cut-off	Status Applied.	☐ Pass ☐ Fail
7.3	Filing switched off.	Time & Leave → Setup → Payroll Cut-offs	The approved cut-off	Filing OFF; Filing History "Payroll … approved".	☐ Pass ☐ Fail
7.4	Filing blocked for its dates.	File a leave or time entry inside the cut-off	Any date of it	Refused: "Filing is turned off for payroll cut-off …".	☐ Pass ☐ Fail
7.5	Approved payslips are locked.	Generate Payroll / Cancel for that cut-off	—	Generate Payroll on that cut-off offers only employees not in it (Phase 8); Cancel is refused. Approved payslips change only through a rollback before the pay date (Phase 8), or a payroll adjustment on a later cut-off.	☐ Pass ☐ Fail
7.6	Audit trail.	Set Up & Authorizations → Audit Trail	Module Payroll	Entries for the run (created, status changes) and for the records changed.	☐ Pass ☐ Fail
7.7	Payslips still viewable.	Payroll Runs → View → payslip	—	Same figures as approved.	☐ Pass ☐ Fail

10. Phase 8 — Corrections After Approval: Add Employees, Roll Back

An approved payroll stays one record per cut-off. Employees added later are approved as its next round (Round 2, 3 …); approved payslips are never recomputed. Adding employees and rolling back are allowed only before the pay date — after it, only the Administrator (Phase 11).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
8.1	Roll back selected payslips (before the pay date).	Payroll Runs → View an approved run whose pay date has not come → tick approved rows → Roll Back Selected	A reason	The run goes back to Draft; the ticked payslips are unlocked (their Payroll deduction payments removed, payroll adjustments Open again); the others stay "Approved" (locked).	☐ Pass ☐ Fail
8.2	Rollback refused once paid.	View a run whose pay date has passed	2026-09-B (pay date 09/30/2026)	"Paid on 09/30/2026 — … can't be rolled back or generated again" note; no Roll Back buttons. A rollback sent anyway is refused.	☐ Pass ☐ Fail
8.3	Add an employee to an approved payroll (before the pay date).	Payroll Runs → Generate Payroll → the cut-off "— approved (add employees)"; or the run → Add Employees	An active employee with a salary who is not in the run	"All employees" is disabled; the picker lists only employees not in the run; message "N employee(s) added — M approved payslip(s) stay as they are"; status Draft; the employee is tagged Added.	☐ Pass ☐ Fail
8.4	Approved payslips unchanged.	Run page → Approval Rounds; Pay Register	Gross / net of an approved employee before and after	Identical figures; tagged "Approved · R1". Approval Rounds lists Round 1 and "Not approved yet".	☐ Pass ☐ Fail
8.5	Remove an employee added by mistake.	Tick the Added row → Remove Selected → Remove	—	The payslip is removed; with only approved payslips left the run is Approved again ("… so it is Approved again").	☐ Pass ☐ Fail
8.6	Approve the added employees (round 2).	Submit for Approval; both approvers approve	—	Status Approved; the added employee shows R2; Approval Rounds: Round 1 and Round 2 with their submitter and approver; round-1 deduction payments are not posted again.	☐ Pass ☐ Fail
8.7	Bank file and register of one round.	Round filter "Round 2" → Bank File / Payroll Register	—	Only round-2 employees; the round's CSV downloads (file names end _Round2) using the paying account the round kept.	☐ Pass ☐ Fail
8.8	Adding refused when it would change approved figures.	Add to an earlier cut-off after a later cut-off of the same month is approved; or after changing Payroll Settings / premium rates	—	Refused with the reason ("… later in the same month is approved …" / "Payroll Settings or premium rates changed since this payroll was approved …").	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
8.9	Adding refused once paid.	Payroll Runs → View a run whose pay date has passed; or Generate Payroll on that cut-off	2026-09-B (pay date 09/30/2026)	No Add Employees button; the "Paid on …" note says no employee can be added; Generate Payroll shows "… was paid on … — no employee can be added" and stays disabled; a request sent anyway is refused.	☐ Pass ☐ Fail

11. Phase 9 — 13th Month Pay

Approval procedure: Access Chart "13th Month Pay" (created with the Payroll Run chart's levels and approvers). The same rounds, rollback and paid-lock rules as Phase 8 apply; the pay date is December 24 when none is given.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
9.1	Generate the 13th month for everyone.	Payroll → Special Pay → 13th Month Pay → Generate 13th Month	Year 2026, pay date 12/15/2026, All employees	Draft; one line per active employee with a salary; Earned Through = the last approved cut-off of the year.	☐ Pass ☐ Fail
9.2	Check an employee's amount.	View → expand the row	Calimlim, Steven (28,000 / month)	Basic Earned = approved basic pay + paid leave − absences / late / undertime (13,358.15); Projected = 14,000 × 5 cut-offs left (70,000); 13th Month = 83,358.15 ÷ 12 = 6,946.51.	☐ Pass ☐ Fail
9.3	Regenerate selected employees.	Regenerate → Selected employees	Tick one employee	Only that line is computed again; the others keep their amounts.	☐ Pass ☐ Fail
9.4	Submit and approve.	Submit for Approval; two approvers of the "13th Month Pay" chart approve	—	Status Approved; Register (Excel) and Bank File CSV available; the Year-end Tax counts the amounts.	☐ Pass ☐ Fail
9.5	Add employees to the approved batch (before its pay date).	View → Add Employees	An employee not in the batch	"All employees" disabled and the pay date locked; the batch goes back to Draft with the employee tagged Added; after approval it is Round 2 with its own Earned Through.	☐ Pass ☐ Fail
9.6	Roll back (before the pay date).	View → tick approved rows → Roll Back Selected (or Roll Back All)	A reason	The batch goes back to Draft; the rolled-back lines leave the Year-end Tax and Final Pay until approved again; the others stay approved.	☐ Pass ☐ Fail
9.7	Rollback refused once paid; cancel refused while approved.	View on / after the pay date; Cancel with approved lines	—	"Paid on … can't be rolled back or generated again"; Cancel is refused while any employee is approved. Add Employees is hidden, and a request sent anyway is refused.	☐ Pass ☐ Fail
9.8	Payroll rollback respects the 13th month.	Roll back a payroll the approved 13th month counted (cut-off on / before Earned Through)	—	Refused: "The 2026 13th-month pay is approved — roll it back first: it was computed from this payroll". A later cut-off is not blocked.	☐ Pass ☐ Fail

12. Phase 10 — Multi-company Payroll, Employers and Accounts

Each company is its own employer with its own payroll accounts. Payrolls and the 13th month are generated for All companies or one company at a time — one generation and one approval each. Use two companies with salaried test employees (test system: ADDESSA CORPORATION and STENWELL).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
10.1	Enter a company's employer details.	Payroll → Setup → Payroll Settings → Employers → edit icon	STENWELL: TIN 111-222-333-000, RDO 021, address, SSS / PhilHealth / Pag-IBIG employer numbers	Saved ("Employer details of STENWELL have been saved"); the TIN column shows it; a TIN with letters is refused ("Digits and dashes only"); the Audit Trail lists "Employer (company)".	☐ Pass ☐ Fail
10.2	Give the company its own payroll account.	Employers → expand STENWELL → Add Account	BPI 9001, Default on	The account is listed under STENWELL; the Payroll Accounts column shows "1 account" (green). The General tab's accounts are unchanged.	☐ Pass ☐ Fail
10.3	Company without a Default uses the general account.	Edit the STENWELL account → Default off; open a STENWELL payroll's Bank File	—	Its employees are paid from the General tab's Default account, even with "match employee bank" on; the column shows an orange tag "No Default".	☐ Pass ☐ Fail
10.4	Generate for one company.	Payroll Runs → Generate Payroll → Company STENWELL	Cut-off 2026-10-B	Draft "Payroll — 2026-10-B · STENWELL" with only STENWELL employees (their branch's company); the list shows the Company column.	☐ Pass ☐ Fail
10.5	All companies refused when per company exists.	Generate Payroll → same cut-off → Company All companies	—	Red message "This cut-off is generated per company (STENWELL) — choose a company."; Generate disabled. The reverse (a company on an all-companies cut-off) is refused the same way.	☐ Pass ☐ Fail
10.6	Bank File of a company payroll.	Run → Bank File → Paid from	—	Groups name the company account ("From BPI 9001 · STENWELL"); the account list offers only STENWELL's and the general accounts. On an all-companies payroll there is no account choice.	☐ Pass ☐ Fail
10.7	Approve: the accounts are saved.	Submit; approvers approve; then the run page, Payroll Runs list and Payroll Register	—	The "Paid from" card (final) lists each account with employees and total; the list shows the same in Paid From; the register Excel has Credited To and Paid From per employee. Editing the account afterwards doesn't change them.	☐ Pass ☐ Fail
10.8	Remittances for one company.	Payroll → Government Compliance → Remittances	Month, Company STENWELL	Only STENWELL payslips; the Excel summary heads with STENWELL's TIN and agency numbers; a warning lists missing numbers. Cleared company = all companies, with a warning to choose one for filing.	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
10.9	Year-end tax and 2316 for one company.	Government Compliance → Year-end Tax	Year 2026, Company STENWELL; print a 2316	Only what STENWELL paid; the 2316 shows STENWELL as employer; the alphalist file name ends with the company.	☐ Pass ☐ Fail
10.10	13th month for one company.	Special Pay → 13th Month Pay → Generate 13th Month	Year, Company STENWELL	One batch for STENWELL; refused with a red message when the year already has an all-companies batch.	☐ Pass ☐ Fail
10.11	Employer share hidden from employees.	Payroll Settings → General → Payslip (off); log in as the employee → My Payslips → View / Print	An employee with an employer share	No Employer Share on the employee's payslip, print or pay sheet Excel. On the payroll page the payslip shows it tagged "Not on the employee's payslip" and its Print leaves it out. Turn the switch on: it shows everywhere.	☐ Pass ☐ Fail
10.12	Cancel an approved filing as its owner.	Employee login → Leave → an approved, not yet paid leave → Cancel	—	Cancelled. A leave already in an approved (paid) or pending payroll shows no Cancel — for an Administrator too; correct it with a payroll adjustment.	☐ Pass ☐ Fail

13. Phase 11 — Rules Added 15 October 2026

Centavo rules, BIR semi-monthly and annual tables, over-break late, the deductions switch and cash payments, Other Allowance, and the Administrator's delete / rollback after the pay date. The examples are the figures verified on the test system; use your own employees and amounts.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
11.1	PhilHealth centavos — employee share cut.	Payroll Settings → General → Statutory deductions → PhilHealth centavos: Employee share cut; Contributions → Compute	Panida, Dennis — PhilHealth base 13,339.42 (2.5% = 333.4855)	EE 333.48, ER 333.49 (total 666.97, the old payroll's figures).	
11.2	PhilHealth centavos — rounded.	Same, set to Rounded to the centavo, Save; then set it back	Same employee	EE 333.49, ER 333.49; the Audit Trail logs Cut → Round.	
11.3	Contribution split adds up to the month.	Payroll Settings: PhilHealth Every cut-off; generate both cut-offs of a month	Monthly EE 333.49	1st cut-off 166.75, 2nd 166.74 (= 333.49), not 166.75 twice.	
11.4	Tax every cut-off uses the semi-monthly table.	Payroll Settings: Withholding tax Every cut-off; Payroll Runs → generate → payslip	Taxable 37,684.52, contributions deducted 3,200.00	Tax 4,558.58; detail "Semi-monthly table on 34,484.52 (taxable 37,684.52 − contributions 3,200.00)".	
11.5	Tax once a month (2nd cut-off) uses the monthly table.	Payroll Settings: Withholding tax 2nd cut-off; generate the month's two cut-offs	A salaried taxable employee	1st cut-off: no tax line. 2nd: "Monthly table on …" for the month's pay, less tax already withheld.	
11.6	Year-end tax uses the annual table.	Payroll → Government Compliance → Year-end Tax	Taxable 1,000,000.00 for the year; withheld 160,000.00	Tax Due 152,500.00; Difference −7,500.00 "to refund" (green). With 150,000.00 withheld: +2,500.00 "to withhold".	
11.7	Over-break counts as late.	Timekeeping → DTR; then the payslip	Melendez, 8–5 shift (60-min break), Sep 15: break out 12:00, break in 13:06	DTR: Brk 12:00–13:06, Late 6 min "over-break 6 min"; payslip late detail "09/15 6 min (over-break 6)" = 7.30.	
11.8	No break pair, no over-break.	Timekeeping → DTR	Templo Sep 15: in 08:44, out 13:03, in 13:59 (no later out)	Time out 13:03 (the last out); no Brk, no over-break.	
11.9	Over-break switched off.	Payroll Settings → Late → Count over-break as late: Off; Save; regenerate	Melendez, cut-off with Sep 15	Late 0 on Sep 15 (late at time in only). Turn it back On after.	

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
11.10	Hold and resume a loan.	Payroll → Records → Deductions → Deducting switch Off, then On (confirm each)	Active installment 1,000 per cut-off	Off: status On Hold, not on the generated payslip, balance unchanged. On: Active, deducted again.	
11.11	Partial cash payment leaves the rest due.	Deductions → View → Record Payment, Cut-off = the next cut-off; generate it	Installment 1,000 per cut-off; cash 500	Form says the payroll deducts only the remaining 500. Payslip: 500 with "Scheduled 1,000.00 − 500.00 paid in cash" and a warning on the employee.	
11.12	Full cash payment covers the cut-off.	Same, cash 1,000	Same	Form: covers the scheduled amount. Payslip: nothing deducted for that loan.	
11.13	Cash on a cut-off already deducted is flagged.	Record Payment on a cut-off whose approved payroll deducted the loan	Same loan	Warning in the form: recording it would count the cut-off twice.	
11.14	List columns and filter.	Payroll → Records → Deductions	Any loans	Columns Total, Paid, Per Deduction, Balance, Deducting; Category filter narrows the Type filter.	
11.15	Other Deduction / Installment need a description.	Deductions → Add Deduction	Type Other Deduction; then Installment	Specify field (Other) / Item Bought (Installment), required; payslip "Other Deduction — …".	
11.16	Other Allowance needs a description.	Payroll → Records → Allowances → Add Allowance	Other Allowance, no Specify; then "Project incentive" and "Relocation" same dates; then "Project incentive" again	No Specify: refused. Two different ones: both saved. The same one again: refused as overlapping. Payslip "Other Allowance — Project incentive".	
11.17	Allowance import with description.	Allowances → Generate Template → fill → Import	A line for OTHER without description; then with one	Without: refused, naming the Excel row. With: added. The template has a description column.	
11.18	Roll back a paid payroll — Administrator only.	Payroll Runs → View an approved payroll on / after its pay date → Roll Back	Payroll Manager, then Administrator	Payroll Manager: refused "was paid on …". Administrator: rolled back, loan payments removed; Audit Trail "after the pay date".	
11.19	Delete Payroll — Administrator only.	Payroll Runs → View → Delete Payroll (reason)	An approved payroll with a loan deducted	Deleted with its payslips and approval history; the loan payment removed (balance back); Audit Trail "deleted" with the reason. Payroll Manager: no button / refused.	
11.20	Delete refused while a later payroll builds on it.	Delete Payroll on an earlier cut-off	A later cut-off approved	Refused: "The later payroll … has approved payslips — roll that one back first".	
11.21	Cut-off delete — Administrator only.	Time & Leave → Setup → Payroll Cut-offs → Delete	A cut-off with a payroll; one with a loan starting on it; an unused one	First two refused (delete its payroll first / used by deductions); the unused one deleted. Payroll Manager: no permission.	

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
11.22	Payroll-made loan payment can't be deleted.	Deductions → View → Payments	A payment with Source Payroll	No delete icon on Payroll lines (manual ones only).	

Appendix A — Holiday and Overtime Pay Test Matrix

Expected results for the holiday and overtime rules (premium rates as in 3.1). Hourly = daily ÷ 8; monthly-paid daily = monthly × 12 ÷ 313. Amounts below are from the test system for employee 23363 (monthly 26,000 → hourly 124.60) and a daily-paid test rate of 600 (hourly 75).

Case	Pay basis	Rule	Expected (test system)
Holiday, not worked	Monthly	Never an absence — covered by the salary	No deduction line for the date
Holiday, on leave	Any	Leave not counted on a holiday	DTR "Holiday", remark "On leave on a holiday — not counted against the leave"; no deduction
Regular holiday, worked 8 h	Monthly	Adds (200% − 100%) for hours worked	Holiday Premium 996.81
Regular holiday, worked 8 h	Daily (600)	8 h × 75 × 200%	Holiday Pay (worked) 1,200.00
Regular holiday, not worked	Daily (600)	Paid if unworked 100%	Holiday Pay (not worked) 600.00
Special holiday, not worked	Daily (600)	No work, no pay (0%) — nothing deducted	No line for the date
Regular holiday, prior-day rule ON, absent the work day before	Daily (600)	Not paid	No holiday pay; DTR remark "Not paid: absent on the work day before the holiday"
OT 2 h on a regular holiday (scheduled day)	Monthly	2 h × hourly × 260%	Overtime 647.92
OT 2 h on a regular holiday	Daily (600)	2 h × 75 × 260%	Overtime 390.00
OT 3 h on an ordinary day	Monthly (28,000)	3 h × 134.19 × 125%	Overtime 503.19
Rest-day work 10 h with approved OT	Any	First 8 h × 130%, rest × 169%	Two overtime details: "(day off, first 8 h)" and the excess
Night work 22:00–06:00	Any	Night minutes × hourly × the hour's rate × 10%	Night Differential line

Appendix B — Worked Example: 2026-08-B Payslip

Employee 23363 De Guzman, Xavier — Monthly 26,000.00; daily 996.81; hourly 124.60. Cut-off 08/16–08/31/2026 (2nd cut-off of August): 5 days present, 7 absent, 2 holidays (08/21 Special, 08/31 Regular — not worked, not deducted), late 321 minutes.

Line	Computation	Amount (₱)
Basic Pay	26,000.00 ÷ 2 cut-offs	13,000.00
Absences	7 days × 996.81	−6,977.64
Late	321 min ÷ 60 × 124.60	−666.61
Rice Subsidy (non-taxable)	2,000.00 per month ÷ 2	1,000.00
Transportation Allowance	750.00 per cut-off	750.00
Gross Pay		7,105.75
SSS (EE)	Monthly on MSC 26,000 — 2nd cut-off	−1,300.00
PhilHealth (EE)	26,000 × 2.5%	−650.00
Pag-IBIG (EE) + voluntary	10,000 × 2% + 100.00	−300.00
Withholding Tax	Monthly taxable (6,105.75 × 2 − 2,150) below 20,833	0.00
Net Pay		4,855.75
Employer share (not deducted)	SSS 2,630.00 (incl. EC 30) + PhilHealth 650.00 + Pag-IBIG 200.00	3,480.00

Appendix C — Rules Applied and Known Limits

C.1 Rules

- A holiday not worked is never an absence; leave is not counted on a holiday.
- Late is counted from the scheduled start once past the shift's grace period; undertime from the time out to the scheduled end.
- A paid day is the scheduled span less its break, at most "Hours per day" (8).
- One punch only = Incomplete: flagged, not deducted. No schedule = flagged, not deducted.
- Rest-day work is paid only through approved overtime filed for that date.
- Today and later dates without punches = Upcoming: assumed worked, not deducted.
- Night differential applies to minutes worked (not the break) in the 22:00–06:00 window.
- A salary change inside a cut-off is prorated by days; allowances are prorated by the days they cover.
- A scheduled deduction is skipped (with a warning) if it would make the net pay negative, and is never taken twice for one cut-off.
- Per cut-off: one payroll for all companies, or one per company (never both); per year the same for the 13th month. A Draft can be regenerated; a Pending one cannot. Approved payslips are locked: before the pay date employees can be added as a new approval round and approved ones rolled back — after that, corrections are payroll adjustments.
- Each company is its own employer: a payslip keeps the company of the employee's branch when it was generated; its payslip header, remittances and BIR 2316 use that company's details (Payroll Settings → Employers).
- An employee is paid from their company's own payroll account (its Default, or the one at their bank when matching); a company with no account, or none marked Default, uses the general accounts. Each approved payslip keeps the accounts it was paid with.
- Leave, time entries and overtime: the owner, or whoever filed it, may cancel while pending or approved; HR (the Timekeeper role) cancels any; nobody — not even an Administrator — cancels one a payroll has paid or holds for approval.
- Employees' own payslips (My Payslips, printed payslips, their pay sheet) show the employer share only when Payroll Settings → Payslip turns it on; payroll staff always see it on the payroll page.
- Late = minutes after the shift's start (past its grace) plus over-break: a break (the punches between the first in and the last out — break out = the last out, break in = the first in among them) longer than the shift's break, counted only when both are punched. Payroll Settings → Late turns it off.
- Withholding tax is on taxable pay less the mandatory EE contributions (never net pay or loans). Every cut-off: BIR semi-monthly table on that cut-off's pay; 1st / 2nd cut-off: monthly table on the month's pay; year-end tax and final pay: annual table (refund or still to withhold).
- Centavos per deduction (Payroll Settings): Rounded, or Employee share cut — employer pays the rest (PhilHealth by default). A contribution split across the month adds up to the monthly amount.
- A loan's cash (manual) payment tagged to a cut-off counts toward it: covering it, the payroll skips the loan; less, it takes only the rest and warns. Payroll-made payments can't be deleted — roll back the payroll.
- After the pay date only the Administrator can roll back, regenerate, add employees or delete a payroll; deleting a cut-off is the Administrator's and only when nothing uses it.

C.2 Not yet in this version

- Pay earned before the HRIS payroll started (e.g. January–September 2026) is not in the system: the 13th month, year-end tax and final pay count only approved HRIS payrolls.

- Daily-paid 13th month: months not yet paid are not projected — generate it again after they are paid. Reports group by the employee's current branch / position.
- BIR 2316 and the alphalist are data layouts to copy onto the official forms / eAlphalist.
- Bank-specific upload files: the bank file is a generic CSV per paying account — check it against the bank's own upload format before sending.
- Two old-payroll rules are not applied: a half day worked counts as undertime (not a half-day absence), and late uses the exact hourly rate (not one rounded to the centavo first).

Appendix D — Defect Log and Sign-off

D.1 Defect log

#	Step no.	Screen	Data used	What happened (actual)	Severity	Status
1						
2						
3						
4						
5						
6						
7						
8						

Severity: Blocker (cannot continue) · Critical (wrong pay) · High · Medium · Low.

D.2 Sign-off

Role	Name	Signature	Date
Tested by (HR / Payroll)			
Payroll Approver 1			
Payroll Approver 2			
System Administrator			